

than that of a conventional loan and definitely much lower than the interest on credit card debt. Keep in mind that most student loans can also be deferred if you suffer a hardship situation like the loss of a job.

In recent times, private loans have entered the marketplace. These are loans that exist outside of the federal student loan system and are not guaranteed by the federal government. These loans may be provided by banks, nonprofit agencies, or other financial institutions. The increasing significance of private loans can be seen in their vast growth: currently the yearly growth rate of private loans is outpacing that of federal loans.

Words of Wisdom

By understanding the special financial situations you may encounter in college, you will be able to handle them more intelligently. You should take the following “words of wisdom” with you from this chapter:

- Recognize the danger signs of being overextended.
- Calculate the debt level your income can handle.
- Try to pay your credit card bills in full.
- Resist peer pressure.
- Research financial aid options.
- Communicate with your parents, partner, and creditors if you experience financial problems.
- Avoid gambling.
- Follow a long-term investment strategy.
- Create a moving-out budget.
- Don’t drop out of school.

